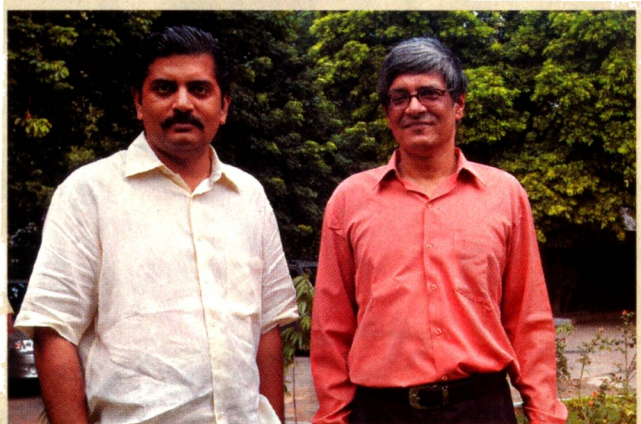


improved more. Scores on the eight parameters were aggregated into an overall performance index for each state.

5 Fastest Movers: It is also important to know how fast a state is changing. Imagine a car race. Some cars are at the forefront (Punjab and Kerala for instance), but moving relatively slowly; others are behind but moving faster and may overtake

6 Inclusive Growth and Poverty Reduction: This year the study also looked into the concept of inclusive growth and poverty reduction. The report looked at the impact of liberalisation and reforms across the states and union territories. This has been done using the recent NSSO study on expenditure across rural and urban India and through the social fabric including scs,



OUR EXPERTS: Laveesh Bhandari (left) and Bibek Debroy

those at the front. For this, index values for the years 1991, 2003, 2004, 2005, and 2006 were considered. The difference in values between two sets of years was taken (1991-2003 and 2003-2006). This tells us the acceleration. The state with fastest acceleration was termed Fastest Mover. Since data for 1991 was not available for all, only 19 states were included in the fastest mover study.

sts and minorities between the years 1993-94 and 2004-05.

We would like to thank Siddhartha Dutta, Silvi Kurian and Deepa Nayak at Indicus Analytics for an exhaustive effort at collecting and analysing the data used for the study. Prof Amaresh Dubey's contribution for poverty estimates is gratefully acknowledged.

All errors remain ours.

ical infrastructure actually deliver. In theory change is the only constant in politics. The political history of modern India though seems to throw up a new one. The one real constant voters find is not-enough change. The politicians-corporate-babu nexus has robbed the elected representative of the will to make the system deliver. The short-term goal of politicians seems to be to ensure status quo.

The State of the States shows that politicians have not learnt from history. The tragedy is that they do not realise that till they find the leadership, which has imagination and gumption to deliver on the basic necessities, the mandate will always be fractured. It's not economics, it's politics, stupid! ■

BUDGET & PROSPERITY

VARIABLES: Urbanisation, 100-head count ratio, capital expenditure/population, GDP deflator (current GSDP/constant GSDP), per capita GSDP, total population/total debt, GSDP for electricity, gas and water supply (at current price)/population

BIG STATES

RANK 2007		2007	RANK 2006	2005	2004	2003
1	PUNJAB	2.88	1	1	1	1
2	HIMACHAL PRADESH	2.83	2	2	6	7
3	GUJARAT	2.33	4	4	3	2
4	HARYANA	2.18	3	3	2	3
5	KERALA	2.07	7	9	8	10
6	MAHARASHTRA	2.05	5	6	4	4
7	JAMMU & KASHMIR	2.05	6	7	7	9
8	TAMIL NADU	1.96	10	5	5	5
9	ANDHRA PRADESH	1.94	9	8	9	8
10	KARNATAKA	1.86	11	11	10	6
11	ASSAM	1.72	17	16	18	15
12	CHHATTISGARH	1.69	14	17	16	NA
13	UTTARAKHAND	1.68	8	10	11	NA
14	RAJASTHAN	1.59	12	12	12	11
15	WEST BENGAL	1.48	13	13	14	12
16	MADHYA PRADESH	1.39	15	14	13	13
17	JHARKHAND	1.10	19	19	17	NA
18	ORISSA	1.06	18	18	19	17
19	UTTAR PRADESH	1.04	16	15	15	14
20	BIHAR	0.53	20	20	20	16

SMALL STATES

1	GOA	4.18	1	2	2	2
2	PUDUCHERRY	3.88	3	3	3	NA
3	DELHI	3.37	2	1	1	1
4	SIKKIM	2.90	4	4	4	NA
5	MIZORAM	2.80	5	5	5	NA
6	NAGALAND	2.44	7	8	8	NA
7	ARUNACHAL PRADESH	2.43	6	6	6	NA
8	TRIPURA	2.29	9	9	9	NA
9	MEGHALAYA	1.77	10	10	10	NA
10	MANIPUR	1.39	8	7	7	NA

UNION TERRITORIES

1	CHANDIGARH	4.93	1	1	1	NA
2	ANDAMAN & NICOBAR ISLANDS	3.01	4	4	4	NA
3	LAKSHADWEEP	2.30	3	3	3	NA
4	DAMAN & DIU	2.25	2	2	2	NA
5	DADRA & NAGAR HAVELI	1.52	5	5	5	NA

Orissa is the FASTEST MOVER

Fastest Mover is the state where the rate of improvement on overall performance between 2003 and 2007 was greater than the rate of improvement between 1991 and 2003